

Stock Options 101

Conner and Mason



Kinder Apology



Rebecca Conner, CFP(r) & CPA



Rebecca Conner works with the tech community as a financial coach and confidant, helping them grow their wealth. Her firm, SeedSafe Financial LLC, is focused on financial planning through initial project plans, ongoing retainers, and tax projects. Through her other business, FinFit Coach PLLC, she provides business support to some of her financial planning clients as an outsourced CFO and strategist. In her available time, she coaches other financial planners trying to take it to the next level.

Rebecca began her career in public accounting and moved into the investment industry in 2009 when she joined Dimensional Fund Advisors in Austin, TX. Rebecca has an undergraduate degrees in Business Honors and Accounting, as well as a Master in Professional Accounting, from The University of Texas at Austin.

Since then, Rebecca worked as a financial advisor for Merriman Wealth Management, a Controller for a Series B/C startup, and Director of the Investment Team for a venture debt firm.



Shane Mason, CFP(r) & CPA



Shane Mason works with creative business owners and tech professionals with his sister firms Mason Tax and Brooklyn FI, which he co-owns with his business partner AJ Ayers. Mason Tax serves about 500 individuals and businesses while Brooklyn FI serves about 100 clients in the XYPN fashion.

Shane began his accounting career in Big 4 handling the taxation of public tech companies before moving to a mid-size firm in NYC and then onto founding Mason Tax. While serving his tax clients he realized how much more value he could add by being a fiduciary advisor. Shane has a Bachelors and Masters in Accounting from the University of Mississippi.



Types of Awards





Questions to the Audience



Life Cycle of a Startup



Wikipedia says it best...

(Founders Stock)

Restricted Stock or UAR

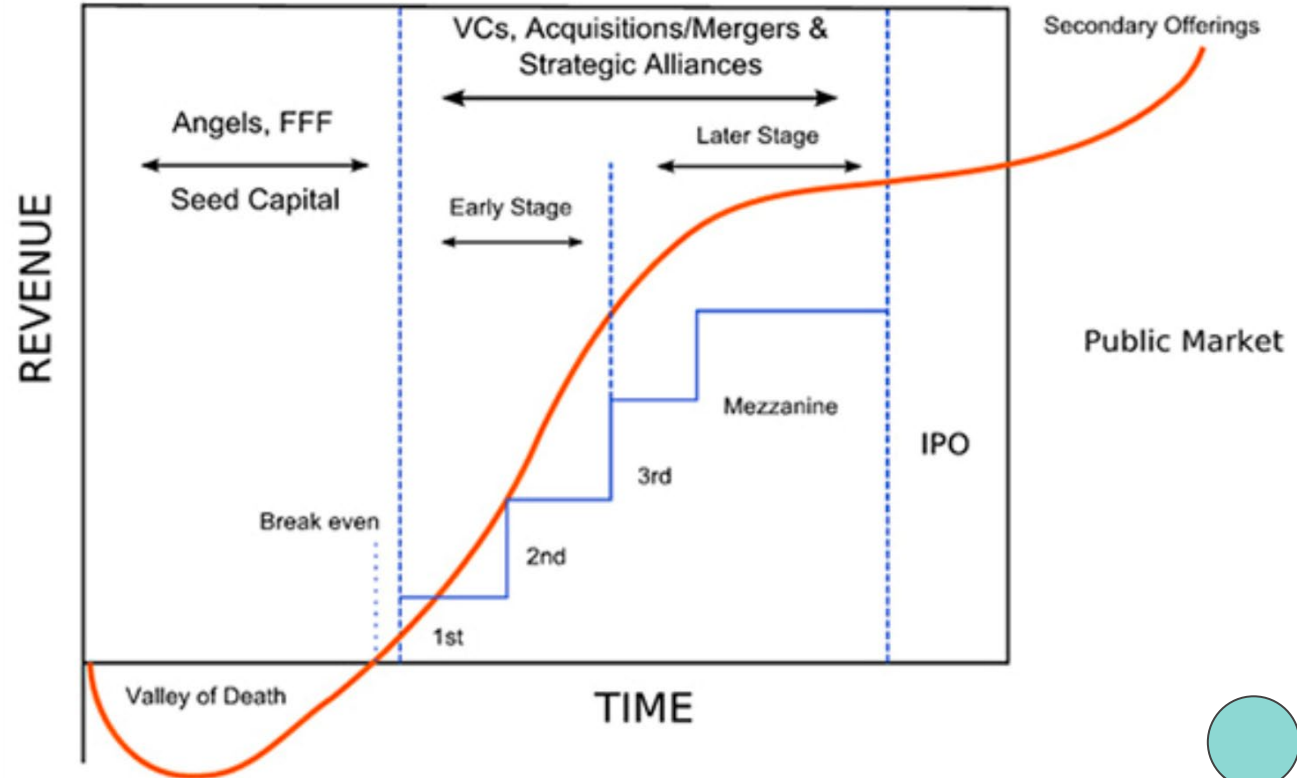
NQSOs

ISOs

RSUs

... oh my!

Startup Financing Cycle



Two Types of Awards



Value Awards

- Restricted Stock
- Restricted Stock Units

Once restrictions have passed (earned), you will receive a share of stock with no further action required on your side. But, at the current price in the market without a choice.

This is considered compensation when earned, **which means the tax treatment is subject to the same rules as wages (generally).**

Since you immediately receive value, the ***quantity*** of these types of awards are generally



Options with Value

- Non-Qualified Stock Options
- Incentive Stock Options

Options come with an exercise price. The value of the stock may or may not be above that price.

Thus, there is generally a higher risk/reward for these grants.

Since the risk is higher, the amount of shares granted are generally higher. These types of options can produce sudden and unexpected millionaires...with tax issues.

Say What? How does that compute then...



- RSUs - 10 Shares x \$100 Stock Price at Vest =

\$1,000 Ordinary Income

- NQSOs - 10 Shares x (\$100 Stock Price at Vest - \$10 Exercise Price)
=

\$900 Ordinary Income

- ISOs - 10 Shares (\$100 Stock Price at Vest - \$10 Exercise Price) = ??
AMT

At SALE (>1 year from exercise, >2 years from grant date)

\$900 Long Term Capital Gains





Starting with Taxes: Withholding & AMT

Collection of Information



- Arguably the hardest part of this work is collecting accurate information from your client. They likely don't even know what type of stock awards they have
- They will look you in the eye with 100% confidence and tell you the wrong information
- Main goals are figuring out what they actually have and figuring out the consequences of vesting/selling/exercising/expiration, etc.
- It's best to collect the raw information, don't rely on eMoney or Right Capital
 - Award Agreement
 - Stock Plan
 - Export information from custodian (Carta, E*Trade, Merrill, etc.)
 - Old Tax Returns from year of taxable event (can be 10 years old)
 - Paystubs
 - Trade Confirmations
 - Brokerage Statements (often lacking key information)

Protip - Huge benefits of niching into one company here. Easy document collection workflow.

Collection of Information (example email)

Happy Halloween. I hope you're getting in costume right about now.

Ahead of our next call, can you please **export** your holding in your Spotify so I can import them manually into Right Capital? I just met with another Spotify employee and found a quick and easy way to do it. Can you please navigate to this screen in your E-Trade account and click the download button as indicated here:

E*TRADE FINANCIAL - Stock Plan Holdings By Status

My Stock Plan

Stock Plan (SPOT)-0018

Unrealized Gain/Loss: \$444,730.40

Spotify

Symbol	Last Price	Today's Change
SPOT	\$188.37	\$0.00 (0.00%)

Overview Holdings Sell Exercise My Account Knowledge

View By Type View By Status

Print Download

Sellable

Sellable Qty	Est. Total Market Value
5,320	\$1,002,128.40

Exercisable

Exercisable Options Qty	Est. Total Market Value
3,480	\$505,090.00

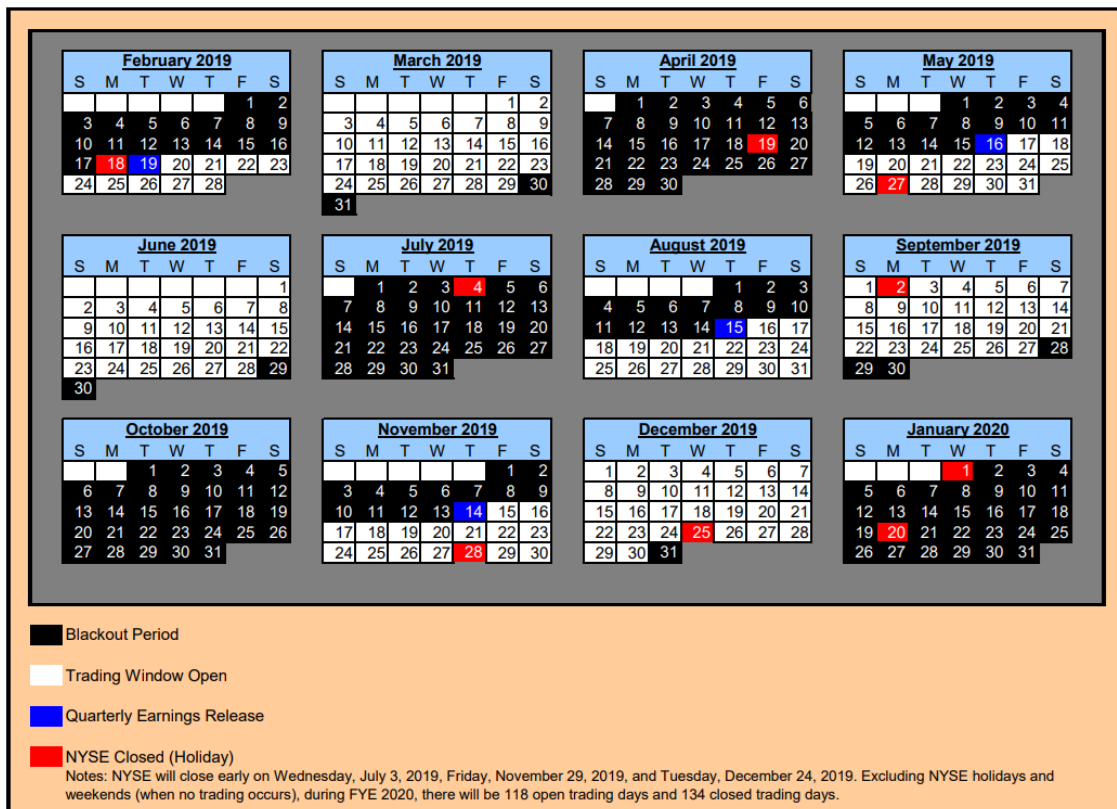
Grant Date	Benefit Type	Exercisable Qty	Next Expiration Date	Exercise Price	Est. Market Value
09/01/2014	Stock Options	120	03/31/2019	\$30.38	\$18,958.80

Protip - Managing expectations here is critical. Stock prices are volatile in tech companies and can have a dramatic impact on your client's life. They may have exercised options at an atypical price outside of that day's close. Always request the actual transaction history!

Please do that for both "View by Type" and "View by Status" for me and send me over those .CSVs. I think this is quickest and easiest way to share your account details in this less than normally accessible account moving forward.

Visualizing Trading Restrictions

FYE 2020 Insider Trading Calendar



Protip - Create a calendar for all of your client's company's stock windows.

Protip - It's possible to ACAT shares away from some stock option plans and put in stop/limit/etc. orders that expire close to the trading window closing

Paystub View



Earnings

‘DD’ = Disqualified Disposition

RSUs

Pre-tax Deductions

DFSA = Dependent Care FSA

Post-tax Deductions

‘Disposition Offset’ = non -cash items
that need to be reported through W -2

Earnings						
Description	Dates	Hours	Rate	Amount	YTD	
ESPP DD						5,821.20
GTL	10/14/2018 - 10/27/2018	0.00	0.00	4.15		87.15
Gym Taxble						30.00
ISO DD						158,083.69
RSU Vest						114,131.30
Salary Wages	10/14/2018 - 10/27/2018	0.00	0.00	6,524.27		134,889.29
Total:				6,528.42		413,042.63
Employee Taxes						
Description				Amount	YTD	
OASDI						7,960.80
Medicare				140.97		3,778.87
Federal Withholding				723.02		40,077.95
State Tax - CA				286.54		17,375.25
CA SDI - CASDI						1,149.67
Total:				1,150.53		70,342.54
Pre Tax Deductions						
Description				Amount	YTD	
401K				848.16		13,816.86
Dental				17.46		384.12
DFSA				192.30		4,230.60
HSA Contributions				259.84		5,799.58
Medical				60.23		1,325.06
Total:				1,377.99		25,556.22
Post Tax Deductions						
Description				Amount	YTD	
ESPP Contributions (ESPP Goal 2)				978.64		11,914.95
ESPP Disq Disposition Offset						5,821.20
Gym Offsett Ded						30.00
ISO DD Offset						158,083.69
RSU Income Offset						71,005.24



Withholding



Not all stock sales = withholding made. Get trade confirms to see if withholding listed

RSUs Most companies allow withholding for taxes by selling shares ('Sell to Cover'). The problem is this withholding is generally at the supplemental 22% rate. Here's an

example a little further in:

WMT				
Vested Qty.	Stock Price	Total Income	Shares Trade	Net Shares
1,200	95	114,000	522	678

Tax Descript	Taxable Gain	W/H Tax Rate	Withholding Amount
Federal	114,000	22%	25,080.00
NY	114,000	9.62%	10,967
NYC	114,000	4.25%	4,845
Social Securi	114,000	6.20%	7,068
Medicare	114,000	1.45%	1,653
		44%	49,613

Total Tax
522 (Shares Necessary to Cover Tax 522 x \$95)

1,200	Shares Vesting
(522)	Shares Sold to Cover Taxes
678	Net Shares
95	Stock Price
64,387	Value of Remaining Shares

Key Takeaway: Client paid the **lower** 22% W/H rate at vest but still paid 44% of value to taxes. They'll think they're due a refund

Protip: The tax benefits of holding RS, RSUs and NQSOs after vest/exercise is usually minimal...so sell!

Alternative Minimum Tax



- Runs “parallel” to regular tax
- You only pay AMT when it exceeds regular tax
- Only two tax brackets - 26% and 28%
- The main reason clients pay AMT is because they benefited from Big Tax Breaks in regular tax land that are removed in AMT land
- Incentive Stock Options = Big Tax Break, therefore...
- ISOs = AMT

Protip - You should know the cash necessary for both the exercise of the options and the AMT bill in April.

AMT



Simplified
Calculation...

Taxes & Cost
Basis will be
impacted

Federal Regular Tax System

Gross Income

Less: (Deductions)

Taxable Income

x Tax Rate

Regular Tax Due

Alternative Minimum Tax System

Taxable Income

Add back: ISO Bargain Element (FMV - Exercise Price)

Alternative Taxable Income

x Alternative Tax Rate

Alternative Minimum Tax Due



If: Regular Tax Due > Alternative Minimum Tax Due, then Regular Tax Due

If: Regular Tax Due < Alternative Minimum Tax Due, then Alternative Minimum Tax Due

What does this system mean for purchased stock?

Cost Basis: Exercise Price

Cost Basis: Fair Market Value

Upon Sale**: Long Term Capital Gains
(FMV at Sale - Exercise Price)

Upon Sale: Applicable Rates
(FMV at Sale - FMV at Purchase)





Tips and Tricks

Stock Grant Review



HR can make mistakes too! We are all human :) Paystub memo lines, Carta or custodian grant information, etc. Review all documents you get

Beware of grant dates *after* vesting date.

Remember for ISOs: 2 years after grant, 1 year after exercise

Look for acceleration clauses in the plan document (“triggers”):

- Accelerated vesting for tax purposes

- Accelerated vesting at a change in control (/and termination)

- Vesting requiring a lapse in time and change in control

Beware of expiration dates: may minimize the types of tax planning you can do if the shares expire quickly

You may be able to ask for an extension of the expiration date too



ISO Historical Review for Advisors



Every advisor must review old tax returns to make sure that minimum tax credits were carried forward.

The following narrative is typical:

- 1) Client exercises ISOs and doesn't know about the AMT issues
- 2) Client pays a huge bill and decides to switch tax prep methodology ("my tax guy is wrong or this software is broken")
- 3) Because of the complexities and nicheness of this area, the minimum tax credit isn't carried forward
- 4) Client loses thousands in tax benefits. The IRS does not care

Protip : If they paid AMT in a prior year but there's no 8801 on the subsequent tax return than you're about to look really smart

The Minimum Tax Credit

Detailed on form 8801 in the year AFTER it's generated (exercises in 2019 = 8801 in form 2020).

Any AMT that resulted from ISOs in one year can be carried forward as a credit in future years when regular tax exceeds AMT (“back to normal”)



Protip : Add the minimum tax credit carryforward to the client's balance sheet to keep track of the “paper” asset



Planning Opportunities

ESPP Planning Opportunities



Trade-offs: To do, or not to do

Available up to usually 15% or to an IRS maximum of \$25,000

A purchase period (usually 6 to 18 months) exists for monthly pay stub deductions to be rolled into an escrow account and saved up for the purchase date.

When the stock is purchase, a discount of 10% to 15% is applied (look up the rules for a little more insight as to what price to expect)

If held long term, special LT cap gains treatment on the discount.

If sold short term, discount is compensation income...which could still be like 7% guaranteed return. So totally make sure your clients enroll!



RSU Planning Opportunities



Trade-offs: To sell or not to sell

If you had this full value of RSUs in cash, would you use it all to buy [insert stock name] stock?



ISO Planning Opportunities



Trade-offs: Timing within year, holding period, risk level, taxes, LIFE

- Make majority of planned purchases earlier in the year, so more time to see how stock and overall market are doing before deciding to maintain ISO treatment or sell
- Remember to NOT purchase in one calendar year and sell in the next calendar year without holding the stock for >1 year time period
- Determine potential changes in stock price to offset intra year AMT costs while still exercising above water options
- Look at a strategy of exercising/selling some to fund exercise/hold and financial foundation goals
- If someone will be with the company for a while (so they feel), look at starting the clock and exercising/holding some ratably over the years up to the AMT = Regular Tax level or to an 'out of pocket maximum' client wants



In the end, you can't know *everything* ...



You need to know enough to know what you don't know, and be able to point a prospect/client in the right direction. Remember *you are the librarian not the library*.

Most prospects are also looking for a tax preparer who knows this stuff as well.

Build your network to include tax preparers that can assist with these situations. Then, find out their hourly contract work rate too, and outsource the heavy lifting where you can.

How to find a good CPA



Questions to ask a CPA over the phone

1. How much of your business is made up of tech employees?
2. Which tech companies make up the majority of those clients?
3. What types of stock compensation do you have direct experience with?
4. What is the withholding rate on RSUs?
5. What happens when I exercise ISOs in year 1 and sell them in year 2?
6. How do I know what will happen if I exercise and sell different ISOs in the same year?
7. What are the advantages of executing an 83b election?
8. Are there any pitfalls to claiming a Qualified Small Business Exclusion?

How to find a good CPA

Example of a snippet of a BNA
tax planning deliverable to
BEGIN the conversation

Main Worksheet					
2018	Case 1	Case 2	Case 3	Case 4	Case 5
1 Filing Status	Single	Single	Single	Single	Joint
2 Personal Exemptions	1	1	1	1	1
3 Ordinary Income	381,511	512,000	381,511	381,511	511,511
4 Net Short-term Gain or Loss	0	0	0	0	0
5 Net Long-term Gain or Loss	0	0	195,543	433,143	433,143
6 Adjusted Gross Income	381,511	512,000	577,054	814,654	944,654
7 Itemized Deductions	0	0	0	0	0
8 Standard Deduction	12,000	12,000	12,000	12,000	24,000
9 Qualified Income Deduction	0	0	0	0	0
10 Taxable Income	369,511	500,000	565,054	802,654	920,654
11 AMTI Net of Exemption	311,211	444,700	526,018	814,654	835,254
12 Minor Child Tax	0	0	0	0	0
13 Schedule or Table Tax	105,018	150,690	174,759	262,671	280,021
14 Alternative Capital Gains Tax	0	0	141,312	188,832	208,637
15 Farm Income Averaging Tax	0	0	0	0	0
16 Foreign Earned Income Tax	0	0	0	0	0
17 Tentative Minimum Tax	83,317	120,694	125,005	186,815	195,398
18 Nonrefundable Credits	0	0	0	0	0
19 Self-Employment and Other Taxes	1,740	2,915	9,171	18,199	18,919
20 Federal Withholding & Estimated	0	0	0	0	0
21 Net Federal Tax	106,758	153,605	150,483	207,031	227,556
22 Resident State Tax	39,075	53,934	60,912	86,397	100,341
23 Resident State Estimated & W/H	0	0	0	0	0
28 Total Net Tax Liability	145,833	207,539	211,395	293,428	327,897

Additional Resources



- *MyStockOptions.com - worth the money
- *StockOpter.com - separate excel and web tool for scenario analysis
- *BNA Tax Planner - for the tax heads
- *Consider your Options by Kaye Thomas - Beginner
- *Equity Compensation Strategies by Kate Thomas - Intermediate
- *Managing Concentrated Stock Wealth by Tim Kochis - Intermediate
- *CEP Designation (heavy on corp. admin. as compared to advising) - Advanced

201: Other Planning Considerations

Search Google or type a URL



- Collars on Concentrated Stock Positions
- §409(a) Valuation Timeline
- Qualifying Dispositions vs. Disqualifying Disposition of ISOs
- Cash Considerations - Paying for Exercise & Taxes
- ISO Expiration Period
- Wash sale rules on RSUs around Vesting/Sales
- Forfeiture of Stock after an 83(b) election
- Qualified Small Business Stock Exclusion §1202
- Matching Goals to Stock Strategy
- Timing of Exercise of ISOs - calendar year nature of tax return, capital loss whipsaw, wa
- Blackout periods/Lockup periods
- Negotiating Offers
- Knowing the limits of the plan (term of plan, vesting periods, forms of comp available)
- Time limit to exercise options after a departure.
- Single Trigger / Double Trigger Vesting
- Different Vesting Periods for each Grant Possible
- Family changes (marriage & *divorce*)
- ESPPs

If we were going to do a Equity Comp 201...



- *Examples of Deliverables
- *Examples of client FAQs and answers to those questions
- *Diversification discussions with clients and modeling in Right Capital or other software services
- *Advanced tax strategies
- *Advanced software solutions
- *How to market to and attract HENRY and HNW equity compensation clientele

Appendix: Taxation of Shares

Definitions to Research



- Restricted Stock Unit
- Incentive Stock Option
- Non Qualified Stock Option
- Double Trigger/Single Trigger for RSUs vs Stock Options
- Tender Offer
- Vesting Schedule
- 83(b) Election
- Qualified Small Business Stock
- Supplemental Tax Rate
- Alternative Minimum Tax



Taxation of Restricted Stock



Restricted stock: generally for pre -IPO companies these can receive big discounts due to 'not marketable' shares...or founding team members when value is \$0.

- You own the stock upon vesting. Taxation happens upon vesting (unless an §83b election is made)
- If pre-IPO, generally not marketable or sellable until liquidation event, but always a market value! (409A valuation)
- Subject to FICA taxation
- Private equity funding (like Softbank) could allow for a percentage of shares held to be exchanged for cash under a 'tender offer'.

Taxation of Restricted Stock Units (RSUs)



RSUs: Companies imminently going public or willing to take a risk they can get a private valuation discount to distribute them on the cheap ;)

You can choose to sell, 'sell-to-cover' for taxes, or keep them and pay the taxes to the company in cash.

- Taxable when vests (at fair market value) whether held or sold.
- Wash sale rules still apply for those selling around vesting time.
- Flow through onto W-2 - withholding tax usually at supplemental rate
- Generally, Form 1099-B will have supplemental information for any shares held onto and later sold.
- Subject to FICA taxation.

Taxation of Non -Qualified Options (NQSO)



NQSOs: taxable ordinary income on (market value - exercise price) at exercise.

- The “basic” type of option when compared to ISOs
- Differentiator from RSUs is you get to choose when you are taxed ;)
- Show up as W-2 income and generally withheld at supplemental tax rate (22% in 2019)
- Watch for Code V in box 12 of the W-2
- Subject to FICA taxation

Taxation of Incentive Stock Options(ISOs)

..These are so great that they get their own slide...or two :)

For employees that are part of a company stock plan. Only eligible to have ISO treatment on the first \$100K exerciseable each year.

- Difference from NQSOs in that there is no taxation upon exercise
 - UNLESS! you have a “disqualifying disposition”
- You choose when to exercise - if you hold on to them following exercise, you are subject to **2** tax systems - the regular tax system and the alternative minimum tax system. *Company does not withhold taxes if they are exercised and held on to.*
- If you don't hold onto them for >1 year, then it is a ‘disqualifying disposition’ and treated like a NQSO - beware of doing this on separate tax calendar years!
- Shows up on IRS Form 3921 and IRS Form 3922.
- Generally <90 days to exercise following termination/death/disability.

Taxation of ISOs - California AMT



The lone ranger who refuses to give up.

New York repealed AMT years ago, but California keeps on trucking.

California AMT rate ~7%...for those making +\$250K the differences will be much smaller compared to Federal AMT since the California tax rate jumps to +13% fairly quickly.

Estimates	Exercise All	Exercise None	Exercise Some
Shares to Exercise	4,000		1000
Shares to Exercise/Sell	0		0
Grant Price			
Purchase Cost	\$4,000		\$1,000
California			
Regular CA Income	\$100,000	\$95,599	\$100,000
Exercise AMT Additional Income	\$36,000		\$9,000
Total CA AMT Income	\$136,000		\$109,000
Less: CA AMT Exemption	\$45,919		\$45,919
CA AMT Taxable Income	\$90,081		\$63,081
CA AMT Tax Rate	7.00%		7.00%
CA Tax Due	\$6,306	\$3,398	\$4,416

Taxation of Stock Types



Not as likely unless you are working for PayPal Mafia types:

Unit Appreciation Rights are the equivalent of 'Phantom Shares'.

They vest, but you have no rights on when to exercise it (generally). This is up to the company. And they can choose their preference of whether to exercise into cash or shares...so depending upon the valuation and how much cash is on hand, they generally are incentivized to pay out cash.

Upon termination, they will generally let you exercise and tell you if you get cash or stock.

Upon company merger/sale, your vested shares are generally paid in cash and the remainder of the agreement converts to NQSOs or cash payments over the remainder of the vesting period.

Appendix - §83 Considerations

Planning Opportunities - 83 ways to leave your taxes



§83(b) and §83(i)

Decide and elect within 30 days of grant date

- Restricted Stock typically has a vesting schedule (thus the restriction).
- As the restricted stock vests, the value of the vesting stock shows up in your income at ordinary tax rates.
- Filing an 83(b) accelerates all the future income into your income now, which is generally a bad idea.
- Can also accelerate the AMT income of an ISO if the plan allows for it (Rare)

Planning Opportunities - 83(b) Election



Why do it? Because stock prices generally move up and to the right. Especially if you're in an early stage start-up, when prices can go 5-100x over the next 4 years (a typical vesting schedule), then you can be exposed to giant tax bills later.

Why not do it?

- No recovery available if the shares don't vest (i.e. you quit or you are fired).
- Slow recovery if the shares don't increase in value over time.

Tax Comparison for 83(b) election

Normal Taxation						
Year	2019	2020	2021	2022	2023	Totals
Stock Price	1.5	3	6	12	24	
Shares Vesting	2,000	2,000	2,000	2,000	2,000	10,000
Value Vested	3,000	6,000	12,000	24,000	48,000	93,000
Taxation at 25%	750	1,500	3,000	6,000	12,000	23,250

83(b) Election Taxation	
83(b) Acceleration of Income	10,000
Value of Shares at Election Date	1.5
Income	15,000
Tax at 25%	3,750
83(b) Tax	3,750
"Normal Tax"	23,250
Difference	19,500

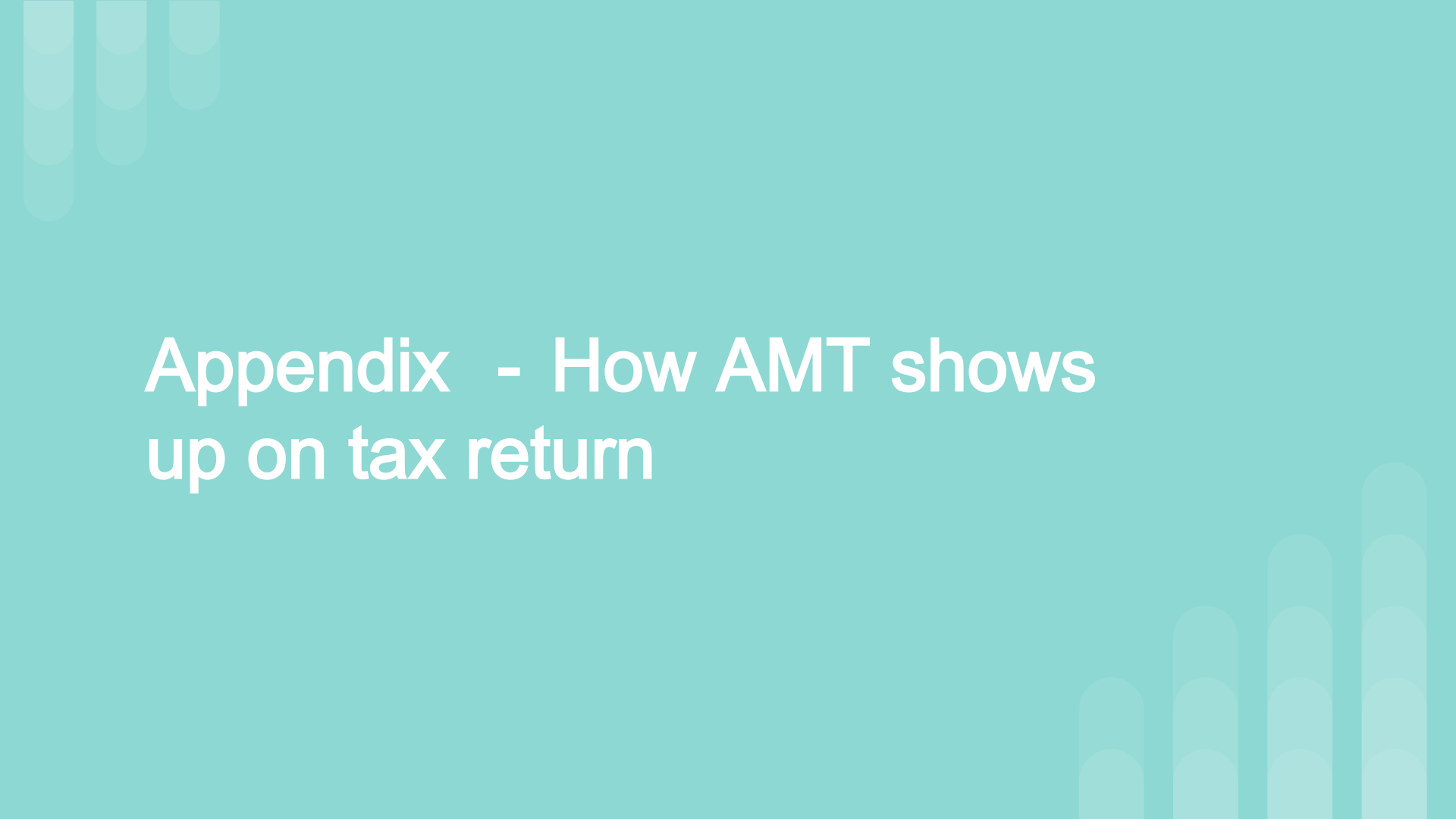
Example:
10,000 Shares

Vesting over 5 years

Planning Opportunities - 83(i) election



- It's helpful to imagine a worse case scenario before discussing this election
- Your client has a large number of RSUs that are vesting while the company is PRIVATE
- The 409(a) value (the “best guess” at its current value) set by the board is high to trigger LARGE taxes on illiquid stock
- Your client is paying a giant tax bill for income that is not tangible or transferable
- The 83(i) election allows your client to delay the taxation of said vesting RSUs until the the earlier of (1) IPO or (2) 5 years



Appendix - How AMT shows up on tax return

<Example 1> Exercise of ISOs

- 
- Married couple makes \$600k in ordinary income
 - Their only itemized deduction is \$10k of State and Local Taxes
 - Has been working at Spotify since 2013. Their incentive stock options have very large gains.
 - Exercises ISOs in 2018 with an inherent gain of ~\$77k.
 - Must pay \$8,988 in AMT thanks to this gain.
 - They now have a 'minimum tax credit carryforward' for any future year when their AMT is less than their regular tax.

So why are they paying \$76,678 in tax?

Exercises on reported on form 3921 to IRS and client

Total Bargain Element is an AMT adjustment

Page 1 of 1

SPOTIFY
150 Greenwich Street
62nd Floor
New York, NY 10007

Exercise of an Incentive Stock Option Under Section 422(b)

Tax Year: 2018
Form 3921
OMB No. 1545-2129
Copy B for Employee

CORPORATION'S federal identification number : 80-0555431

ORIGINAL

Date option granted (Box1)	Date option exercised (Box2)	Exercise Price per share (Box3)	FMV per share on exercise date (Box4)	Number of shares transferred (Box5)	If other than TRANSFEROR name of CORPORATION whose stock is BEING TRANSFERRED (Box6)
09/01/2014	02/16/2018	\$1,215.00	\$4,826.00	18.0000	
03/01/2016	02/16/2018	\$1,648.00	\$4,826.00	4.0000	

- 1 a Company name SPOTIFY
- b Stock symbol
- 2 Employee is (check one):
- a ☒ Taxpayer
- b ☐ Spouse

Part II Incentive Stock Option (ISO)

- 3 Enter stock grant and acquisition information in columns (b) through (i) for incentive stock options exercised and held (not sold) in 2018. (Box numbers refer to Form 3921; see Tax Help.)

		Grant Information			Acquisition Information			
(a) Lot #	(b) Rprtd on Form 3921?	(c) Number of Shares (Box 5)	(d) Date Option Granted (Box 1)	(e) Exercise Price Per Share (Box 3)	(f) Date Option Exercised (Box 2)	(g) FMV/Share on Exercise Date (Box 4)	(h) Bargain Element Per Share	(i) Fees Paid (if any)
1	☐	51.0000	11/30/12	670.0000	02/03/17	1,776.0000	1,106.0000	
2	☐	18.0000	09/01/14	1,215.0000	02/16/18	4,826.0000	3,611.0000	
3	☐	4.0000	03/01/16	1,648.0000	02/16/18	4,826.0000	3,178.0000	
	☐							
	☐							
	☐							
	☐							
	☐							

4 Alternative Minimum Tax (AMT) Summary

	AMT	Regular Tax	Adjustment
a Exercise of ISO (Form 6251, line 14)	77,710.00	0.00	77,710.00

6251 pt. 1

Form **6251**

Department of the Treasury
Internal Revenue Service (99)

Alternative Minimum Tax—Individuals

► Go to www.irs.gov/Form6251 for instructions and the latest information.
► Attach to Form 1040 or Form 1040NR.

OMB No. 1545-0074

2018

Attachment
Sequence No. **32**

Married couples and Form 1041 or Form 1041NR

Stephen A. & Caroline F. Shirley

Taxpayer's social security number

756-71-0440

Part I Alternative Minimum Taxable Income (See instructions for how to complete each line.)

1	Enter the amount from Form 1040, line 10, if more than zero. If Form 1040, line 10, is zero, subtract lines 8 and 9 of Form 1040 from line 7 of Form 1040 and enter the result here. (If less than zero, enter as a negative amount.)	1	421,826.
2a	If filing Schedule A (Form 1040), enter the taxes from Schedule A, line 7; otherwise, enter the amount from Form 1040, line 8	2a	10,000.
b	Tax refund from Schedule 1 (Form 1040), line 10 or line 21	2b	()
c	Investment interest expense (difference between regular tax and AMT)	2c	
d	Depletion (difference between regular tax and AMT)	2d	
e	Net operating loss deduction from Schedule 1 (Form 1040), line 21. Enter as a positive amount	2e	
f	Alternative tax net operating loss deduction	2f	()
g	Interest from specified private activity bonds exempt from the regular tax	2g	198.
h	Qualified small business stock, see instructions	2h	0.
i	Exercise of incentive stock options (excess of AMT income over regular tax income)	2i	77,710.
j	Estates and trusts (amount from Schedule K-1 (Form 1041), box 12, code A)	2j	
k	Disposition of property (difference between AMT and regular tax gain or loss)	2k	0.
l	Depreciation on assets placed in service after 1986 (difference between regular tax and AMT)	2l	
m	Passive activities (difference between AMT and regular tax income or loss)	2m	0.
n	Loss limitations (difference between AMT and regular tax income or loss)	2n	
o	Circulation costs (difference between regular tax and AMT)	2o	
p	Long-term contracts (difference between AMT and regular tax income)	2p	
q	Mining costs (difference between regular tax and AMT)	2q	
r	Research and experimental costs (difference between regular tax and AMT)	2r	
s	Income from certain installment sales before January 1, 1987	2s	()
t	Intangible drilling costs preference	2t	
3	Other adjustments, including income-based related adjustments	3	
4	Alternative minimum taxable income. Combine lines 1 through 3. (If married filing separately and line 4 is more than \$718,800, see instructions.)	4	509,734.

Part II Alternative Minimum Tax (AMT)

5 Exemption. (If you were under age 24 at the end of 2018, see instructions.)

\$77,710 = total
'bargain element' or
just pure tax break
of ISOs

continues...



6251 pt. 2

This is where people go glassy eyed

Total tax = \$75,628,
\$8,988 of which is
AMT

4 Alternative minimum taxable income. Combine lines 1 through 3. (If married filing separately and line 4 is more than \$718,800, see instructions.)			4	509,734.
Part II Alternative Minimum Tax (AMT)				
5 Exemption. (If you were under age 24 at the end of 2018, see instructions.)				
IF your filing status is . . . AND line 4 is not over . . . THEN enter on line 5 . . .				
Single or head of household . . . \$ 500,000 . . . \$ 70,300				
Married filing jointly or qualifying widow(er) 1,000,000 . . . 109,400				
Married filing separately . . . 500,000 . . . 54,700			5	109,400.
If line 4 is over the amount shown above for your filing status, see instructions.				
6 Subtract line 5 from line 4. If more than zero, go to line 7. If zero or less, enter -0- here and on lines 7, 9, and 11, and go to line 10 . . .			6	400,334.
7 • If you are filing Form 2555 or 2555-EZ, see instructions for the amount to enter.				
• If you reported capital gain distributions directly on Schedule 1 (Form 1040), line 13; you reported qualified dividends on Form 1040, line 3a; or you had a gain on both lines 15 and 16 of Schedule D (Form 1040) (as refigured for the AMT, if necessary), complete Part III on the back and enter the amount from line 40 here.			7	75,678.
• All others: If line 6 is \$191,100 or less (\$95,550 or less if married filing separately), multiply line 6 by 26% (0.26). Otherwise, multiply line 6 by 28% (0.28) and subtract \$3,822 (\$1,911 if married filing separately) from the result.				
8 Alternative minimum tax foreign tax credit (see instructions) . . .			8	50.
9 Tentative minimum tax. Subtract line 8 from line 7 . . .			9	75,628.
10 Add Form 1040, line 11a (minus any tax from Form 4972), and Schedule 2 (Form 1040), line 46. Subtract from the result any foreign tax credit from Schedule 3 (Form 1040), line 48. If you used Schedule J to figure your tax on Form 1040, line 11a, refigure that tax without using Schedule J before completing this line (see instructions) . . .			10	66,640.
11 AMT. Subtract line 10 from line 9. If zero or less, enter -0-. Enter here and on Schedule 2 (Form 1040), line 45 . . .			11	8,988.

For Paperwork Reduction Act Notice, see your tax return instructions.

BAA

REV 12/21/18 PRO

Form **6251** (2018)

continues..

They now have a tax credit available for all future years worth \$8,988. Put it on their balance sheet!

<Form 8801>



This form is sincerely gibberish. Just make sure it was carried forward to the year after the ISO exercise. I have spent over 20 hours deciphering it and I'm still learning. Make sure your CPA knows what's going on here and delegate.

Form 8801 Department of the Treasury Internal Revenue Service (90)	Credit for Prior Year Minimum Tax— Individuals, Estates, and Trusts ▶ Go to www.irs.gov/Form8801 for instructions and the latest information. ▶ Attach to Form 1040, 1040NR, or 1041.	OMB No. 1545-1073 2017 Attachment Sequence No. 74
Addition of tax		Identifying number 100-84-8173

Part I Net Minimum Tax on Exclusion Items		
1	Combine lines 1, 6, and 10 of your 2016 Form 6251. Estates and trusts, see instructions	1 395,531.
2	Enter adjustments and preferences treated as exclusion items (see instructions)	2 44,899.
3	Minimum tax credit net operating loss deduction (see instructions)	3 ()

Form 8801 (2017)

Page **2**

Part II Minimum Tax Credit and Carryforward to 2018		
16	Enter the amount from your 2016 Form 6251, line 35, or 2016 Form 1041, Schedule I, line 56 . . .	16 31,344.
17	Enter the amount from line 15	17 3,812.
18	Subtract line 17 from line 16. If less than zero, enter as a negative amount	18 27,532.
19	2016 credit carryforward. Enter the amount from your 2016 Form 8801, line 26	19
20	Enter your 2016 unallowed qualified electric vehicle credit (see instructions)	20
21	Combine lines 18 through 20. If zero or less, stop here and see the instructions	21 27,532.
22	Enter your 2017 regular income tax liability minus allowable credits (see instructions)	22 151,983.
23	Enter the amount from your 2017 Form 6251, line 33, or 2017 Form 1041, Schedule I, line 54 . . .	23 108,806.
24	Subtract line 23 from line 22. If zero or less, enter -0-	24 43,177.
25	Minimum tax credit. Enter the smaller of line 21 or line 24. Also enter this amount on your 2017 Form 1040, line 54 (check box b); Form 1040NR, line 51 (check box b); or Form 1041, Schedule G, line 2c	25 27,532.
26	Credit carryforward to 2018. Subtract line 25 from line 21. Keep a record of this amount because you may use it in future years	26 0.

<Example 2> - SALE of ISOs



Client works at Palantir and exercised ISOs in 2016 and paid large AMT bill. Client has a higher AMT basis and large tentative minimum tax credit carryforward.

Sells them in 2017 which pushes DOWN their AMT well below regular tax. Since AMT is so low, the minimum tax credit can be utilized.

“Regular” income
finally shows up
as capital gains
on Schedule D

Part II Long-Term. Transactions involving capital assets you held more than 1 year are long term. For short-term transactions, see page 1.

Note: You may aggregate all long-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS and for which no adjustments or codes are required. Enter the totals directly on Schedule D, line 8a; you aren't required to report these transactions on Form 8949 (see instructions).

You must check Box D, E, or F below. Check only one box. If more than one box applies for your long-term transactions, complete a separate Form 8949, page 2, for each applicable box. If you have more long-term transactions than will fit on this page for one or more of the boxes, complete as many forms with the same box checked as you need.

- ☐ **(D)** Long-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS (see **Note** above)
- ☒ **(E)** Long-term transactions reported on Form(s) 1099-B showing basis **wasn't** reported to the IRS
- ☐ **(F)** Long-term transactions not reported to you on Form 1099-B

1	(a) Description of property (Example: 100 sh. XYZ Co.)	(b) Date acquired (Mo., day, yr.)	(c) Date sold or disposed of (Mo., day, yr.)	(d) Proceeds (sales price) (see instructions)	(e) Cost or other basis. See the Note below and see <i>Column (e)</i> in the separate instructions	Adjustment, if any, to gain or loss. If you enter an amount in column (g), enter a code in column (f). See the separate instructions.		(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
						(f) Code(s) from instructions	(g) Amount of adjustment	
	Palantir - ISOs			123,328.	24,999.			98,329.

6251 pt. 1

This income was already included in AMT, so it gets reversed out in the future to prevent double taxation.

Part I Alternative Minimum Taxable Income (See instructions for how to complete each line.)	
1 If filing Schedule A (Form 1040), enter the amount from Form 1040, line 41, and go to line 2. Otherwise, enter the amount from Form 1040, line 38, and go to line 7. (If less than zero, enter as a negative amount.)	1 544,455.
2 Reserved for future use	2
3 Taxes from Schedule A (Form 1040), line 9	3 66,401.
4 Enter the home mortgage interest adjustment, if any, from line 6 of the worksheet in the instructions for this line	4
5 Miscellaneous deductions from Schedule A (Form 1040), line 27.	5 0.
6 If Form 1040, line 38, is \$156,900 or less, enter -0-. Otherwise, see instructions	6 (10,175.)
7 Tax refund from Form 1040, line 10 or line 21	7 (0.)
8 Investment interest expense (difference between regular tax and AMT).	8
9 Depletion (difference between regular tax and AMT)	9
10 Net operating loss deduction from Form 1040, line 21. Enter as a positive amount	10
11 Alternative tax net operating loss deduction	11 ()
12 Interest from specified private activity bonds exempt from the regular tax	12
13 Qualified small business stock, see instructions	13 0.
14 Exercise of incentive stock options (excess of AMT income over regular tax income)	14
15 Estates and trusts (amount from Schedule K-1 (Form 1041), box 12, code A)	15
16 Electing large partnerships (amount from Schedule K-1 (Form 1065-B), box 6)	16
17 Disposition of property (difference between AMT and regular tax gain or loss)	17 -98,329.
18 Depreciation on assets placed in service after 1986 (difference between regular tax and AMT)	18
19 Passive activities (difference between AMT and regular tax income or loss)	19
20 Loss limitations (difference between AMT and regular tax income or loss)	20
21 Circulation costs (difference between regular tax and AMT)	21
22 Long-term contracts (difference between AMT and regular tax income)	22
23 Mining costs (difference between regular tax and AMT)	23
24 Research and experimental costs (difference between regular tax and AMT)	24
25 Income from certain installment sales before January 1, 1987	25 ()
26 Intangible drilling costs preference	26
27 Other adjustments, including income-based related adjustments	27 1,007.
28 Alternative minimum taxable income. Combine lines 1 through 27. (If married filing separately and line 28 is more than \$249,450, see instructions.)	28 503,359.

Part II Alternative Minimum Tax (AMT)

1040 pg 2

Regular tax exceeds AMT by quite a bit, which creates a nice opportunity for that minimum tax credit to be utilized

Form 1040 (2017)

Page **2**

		38	Amount from line 37 (adjusted gross income)	38	600,681.
Tax and Credits	39a	Check ☐ You were born before January 2, 1953, ☐ Blind. } Total boxes		☐	
		if: ☐ Spouse was born before January 2, 1953, ☐ Blind. } checked ▶ 39a			
	b	If your spouse itemizes on a separate return or you were a dual-status alien, check here ▶ 39b ☐			
Standard Deduction for— • People who check any box on line 39a or 39b or who can be claimed as a dependent, see instructions. • All others: Single or Married filing separately, \$6,350 Married filing jointly or Qualifying widow(er), \$12,700 Head of household, \$9,350	40	Itemized deductions (from Schedule A) or your standard deduction (see left margin)		40	56,226.
	41	Subtract line 40 from line 38		41	544,455.
	42	Exemptions. If line 38 is \$156,900 or less, multiply \$4,050 by the number on line 6d. Otherwise, see instructions		42	0.
	43	Taxable income. Subtract line 42 from line 41. If line 42 is more than line 41, enter -0-		43	544,455.
	44	Tax (see instructions). Check if any from: a ☐ Form(s) 8814 b ☐ Form 4972 c ☐		44	151,983.
	45	Alternative minimum tax (see instructions). Attach Form 6251		45	0.
	46	Excess advance premium tax credit repayment. Attach Form 8962		46	
	47	Add lines 44, 45, and 46		47	151,983.
	48	Foreign tax credit. Attach Form 1116 if required	48	0.	
	49	Credit for child and dependent care expenses. Attach Form 2441	49		
	50	Education credits from Form 8863, line 19	50		
	51	Retirement savings contributions credit. Attach Form 8880	51		
	52	Child tax credit. Attach Schedule 8812, if required	52		
	53	Residential energy credits. Attach Form 5695	53		
54	Other credits from Form: a ☐ 3800 b ☒ 8801 c ☐		54	27,532.	
55	Add lines 48 through 54. These are your total credits		55	27,532.	
56	Subtract line 55 from line 47. If line 55 is more than line 47, enter -0-		56	124,451.	
57	Self-employment tax. Attach Schedule SE		57		